

Fearnleys Dry Bulk Market Outlook

Dec 10, 2024

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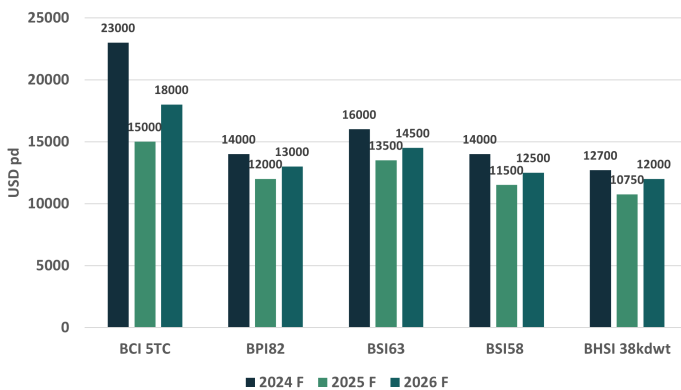
SUMMARY AND OUTLOOK

Total shipment volume growth has fallen from 4.6% in June to 4.0% at the end of November, which is still higher than the supply growth of 3.0%. Despite fundamentals being positive by this measure, markets have fallen as growth in West of Suez shipments has dropped from 6% in July to 2.5% in November, and there is no congestion in loading or discharge ports. Further, vessel sailing speeds remain low but have trended upward since the beginning of August.

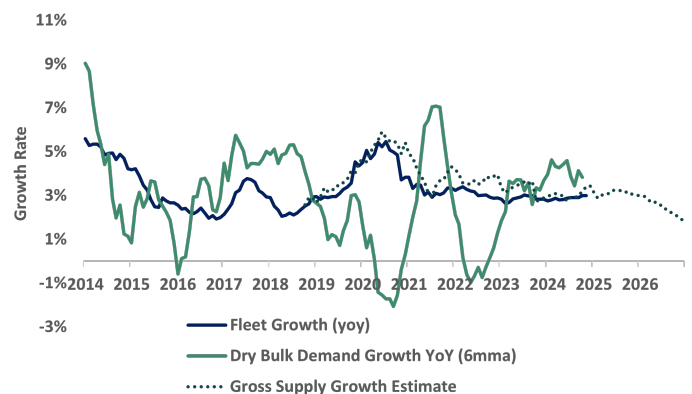
Our market viewpoints always start by analyzing shipment volume growth against supply growth, as the other factors are more uncertain. Since Q4 last year, our view has been that shipment volume growth would drop below supply growth during the first half of 2025, so downside risk would escalate during the second half of 2025. We still seem on track for that development, which is a little worrying considering where earnings are now. On the other hand, as shipment volume growth remains positive it could mean that markets will rebound strongly after the Chinese New Year next year if sailing distances, congestion, and sailing speeds go in owners favor.

Nonetheless, the outlook remains bearish, and we do not think that will change before Q4 2025 at the earliest, and Q2 2026 at the latest.

Earnings Forecasts



Dry Bulk Shipment Volume Growth vs Supply Growth (All Segments)



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SUPPLY OUTLOOK

Total fleet statistics, year to date 2024.

Deliveries: 28.3 million DWT
 Scrapping: 2.7 million DWT
 Year on Year Fleet Growth: 3.2%

Fleet statistics per segment.

Handysize

Deliveries: 5.1 million DWT
 Scrapping: 1.1 million DWT
 Year on Year Fleet Growth: 3.0%

Supramax/Ultramax



Deliveries: 10.0 million DWT
Scrapping: 0
Year on Year Fleet Growth: 5.0%

Panamax/Kamsarmax

Deliveries: 8.4 million DWT
Scrapping: 1.4 million DWT
Year on Year Fleet Growth: 3.0%

Capesize/Newcastlemax

Deliveries: 7.3 million DWT
Scrapping: 0.7 million DWT
Year on Year Fleet Growth: 1.9%

Orderbook to Existing Fleet Ratios (in DWT terms)

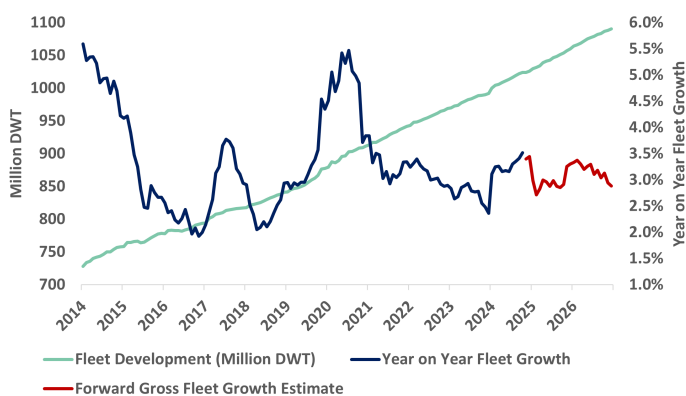
Total Fleet:	10.0%
VLOC:	3.7%
Capesize/Newcastlemax:	7.3%
Panamax/Kamsarmax:	11.5%
Supramax/Ultramax:	14.0%
Handysize 25-50kdwt	10.0%

Total fleet growth estimates

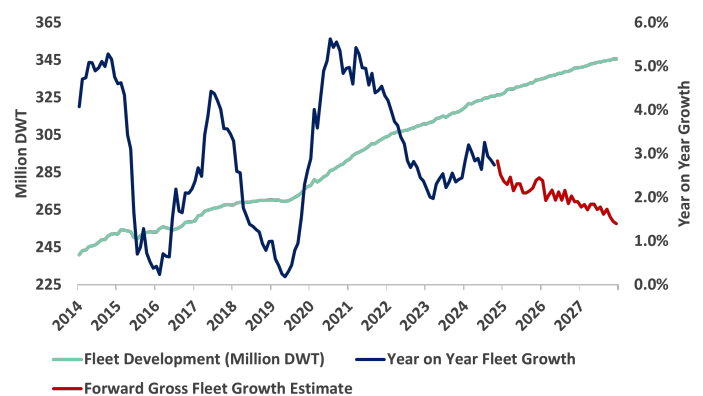
2024: About 3.0%
2025: About 3.0%
2026: About 2.0%

Fleet Growth and Forward Gross Estimates

Total Fleet Growth Including Estimate



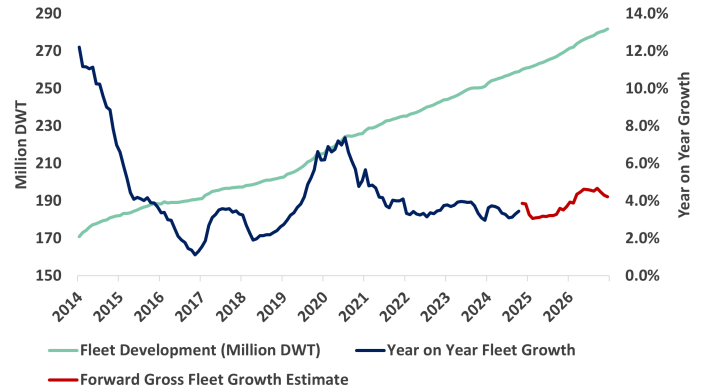
Cape/Newc Fleet Growth Including Estimate



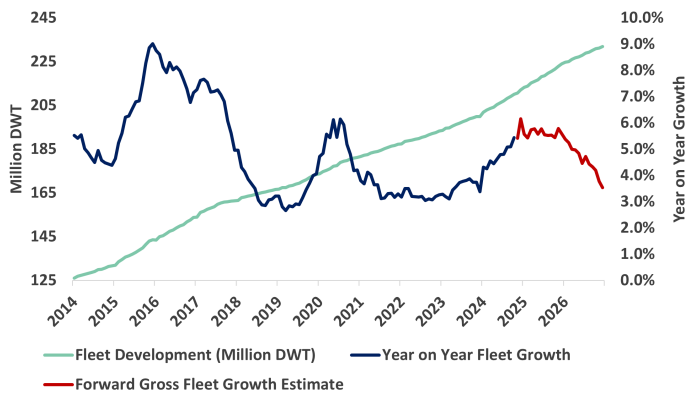
VLOC Fleet Growth Including Estimate



Panamax/Kamsarmax Fleet Growth Including Estimate



Supramax/Ultramax Fleet Growth Including Estimate



Handysize Fleet Growth Including Estimate



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PERIOD RATES AND ASSET VALUES

Basis the correlation between earnings and asset values since 2010, we believe the following adjustments have to be made in order to bring the relationship back to normal.

Handysize: 1-year time charter rates either have to rise above 15.000 USD pd, or the 10-year-old value has to fall to around 17 million USD.

Supramax: 1-year time charter rates either have to rise to the high-teens USD pd, or the 10-year-old value has to fall to around 20 million USD.

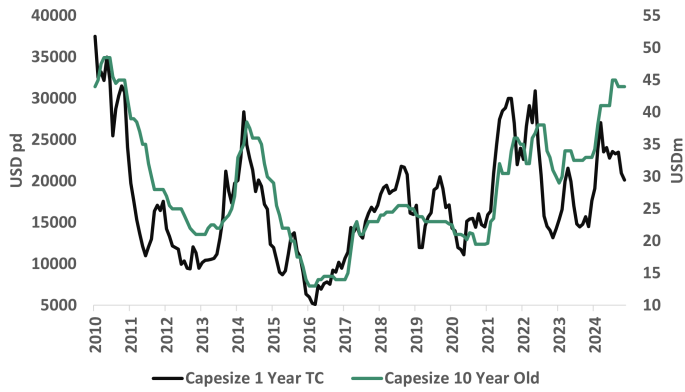
Kamsarmax: 1-year time charter rates either have to rise to the high-teens USD pd, or the 10-year-old value has to fall to around 20 million USD.

Capesize: 1-year time charter rates either have to rise towards 25.000 USD pd, or the 10-year-old value has to fall to around 35 million USD.

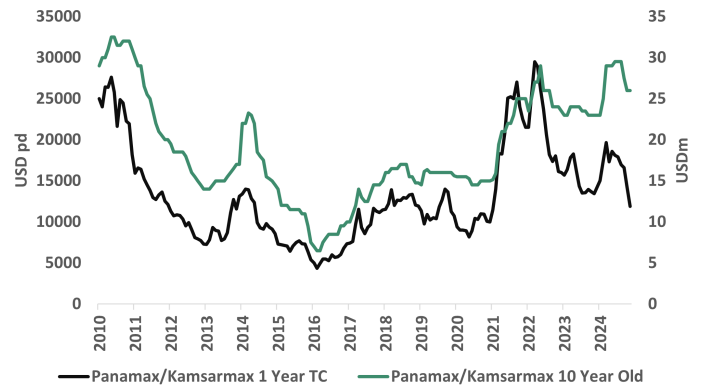
We expect values to drop over the coming months. However, we also note a lot of potential buying interest, so we do expect some support to values as long as earnings rebound after the Chinese New Year.

Asset Values vs Period Rates

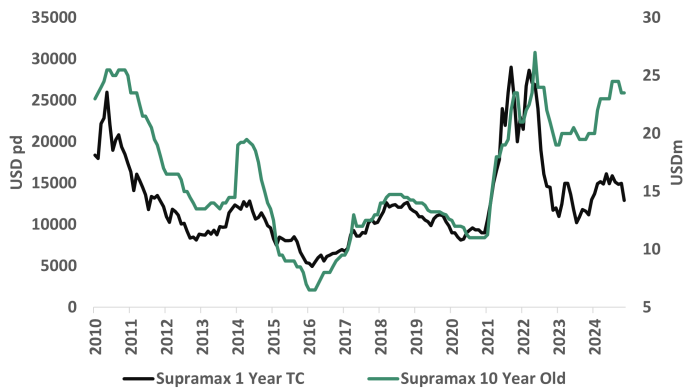
Capesize 1 Year TC vs Capesize 10 Year Old



Panamax/Kamsarmax 1 Year TC vs Panamax/Kamsarmax 10 Year Old



Supramax 1 Year TC vs Supramax 10 Year Old



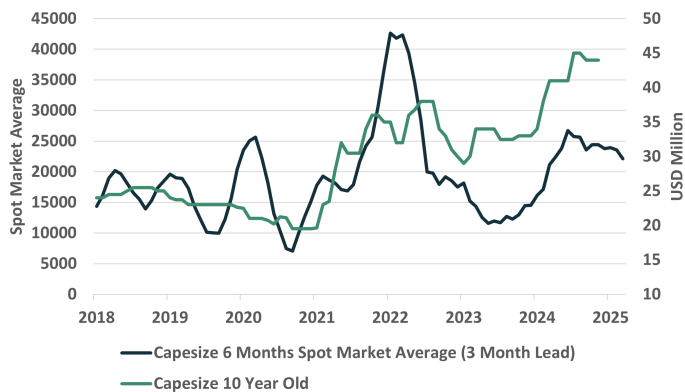
Handysize 1 Year TC vs Handysize 10 Year Old



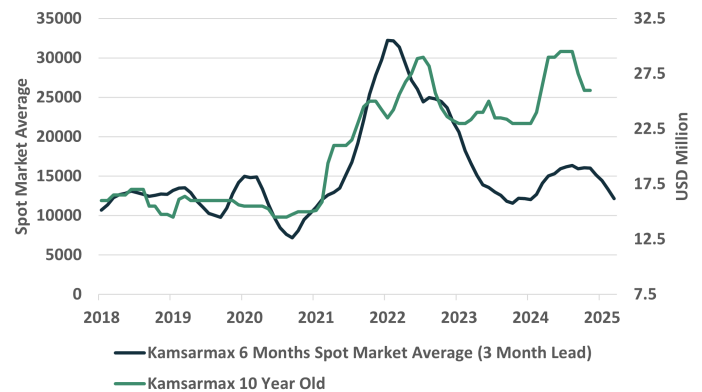
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Asset Values vs Spot Earnings Averages

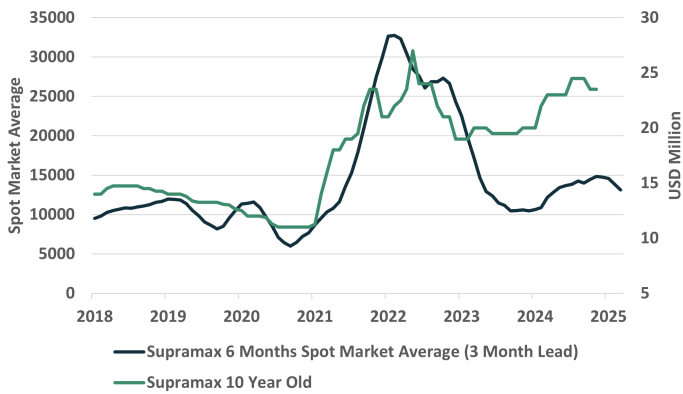
Capesize 6 Months Spot Market Average (Moved 3 Months Forward) vs Capesize 10 Year Old



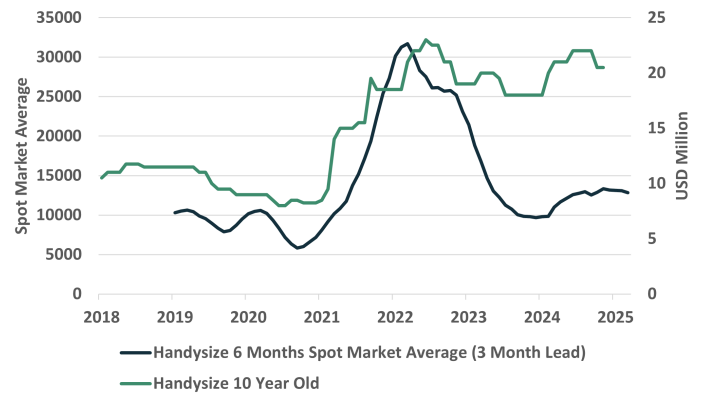
Kamsarmax 6 Months Spot Market Average (Moved 3 Months Forward) vs Kamsarmax 10 Year Old



Supramax 6 Months Spot Market Average (Moved 3 Months Forward) vs Supramax 10 Year Old



Handysize 6 Months Spot Market Average (Moved 3 Months Forward) vs Handysize 10 Year Old



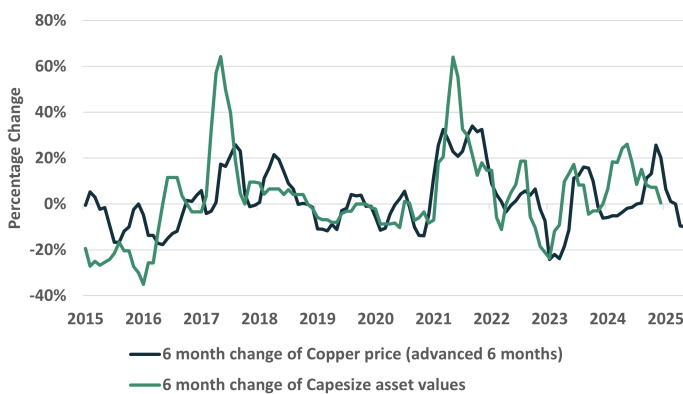
Baltic Exchange, Fearnleys

Asset Values vs Commodity Prices

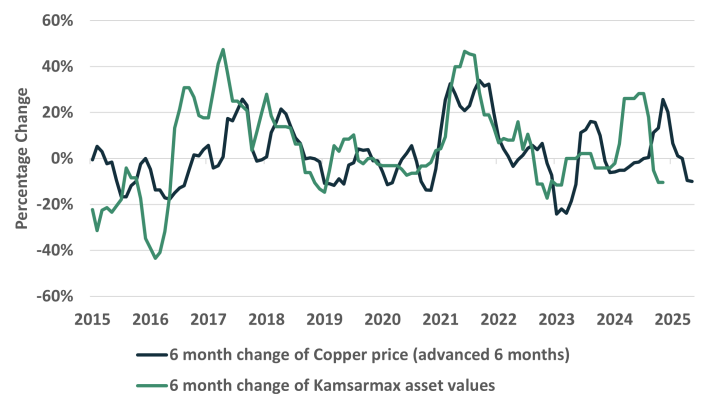
Industrial metals prices often leads the change in second-hand values by around 6 months. The charts below display the preceding 6 months' change in the price of copper (the curve is shifted 6 months forward) against the preceding 6 months' change in Capesize, Kamsarmax, and Supramax 10-year-old second-hand values.

The last months weakness in copper prices warned correctly that second-hand values were about to drop. No upturn in second-hand values is suggested by the copper price lead during the first half of 2025.

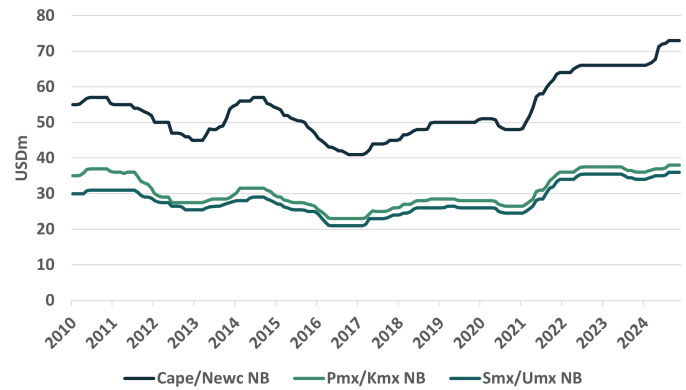
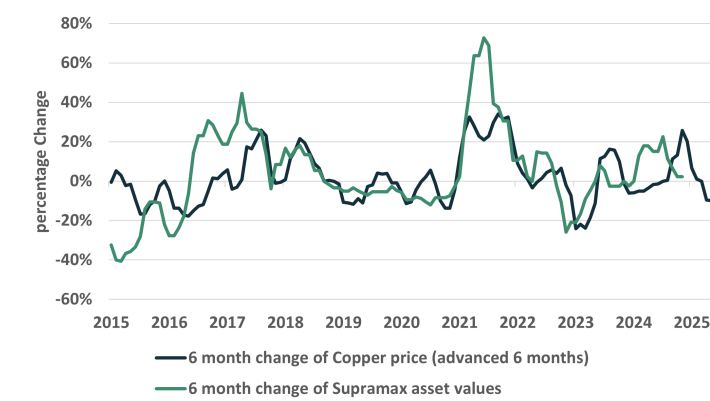
Copper Price Change vs Capesize 10 Year Old Change



Copper Price Change vs Kamsarmax 10 Year Old Change



Copper Price Change vs Supramax 10 Year Old Dry Bulk Newbuilding Prices



S&P Global, FRED, Fearnleys

TRADE FLOWS

Year-on-Year Trade Flow Statistics Through November

Iron Ore

Exports

Australia: 1.2%

Brazil: 7.2%

Canada: 3.3%

India: -8.0%

South Africa: 0.3%

Total Exports: 3.9%

Imports

China: 4.0%

World ex-China: 3.5%

Next year, we do not see much potential for growth in iron ore import demand. Port inventories in China are close to the highest level in the last 10 years, with high-grade inventories making up most of it. Imported iron ore consumption in China is 3.2% lower than in the same period last year, so even if the stimulus measures work immediately there is a gap to 2023 levels that needs to recover.

Manufacturing in the World ex-China seems too weak to expect much growth, with recent layoff announcements in German industry as one clear signal. PMI readings are below 50 in over half of the countries included in the surveys by Markit.

Coal

Exports

Australia: 3.7%

Colombia: 3.7%

Indonesia: 7.3%
Russia: -14.6%
South Africa: 2.2%
USA: +6.6%

Total Exports: +2.5%

Imports

China: 13.8%
India: 0.0%
South East Asia: 11.4%
Europe and Med: -19.0%
South America: 0.0%
Japan: -2.3%
Korea: -5.4%

China's import coal demand looks set to weaken next year, with inventories reported at record highs, along with plans to increase domestic production by 100 million tons. India and South East Asia's imports are likely to grow, due to underlying high economic growth rates. Developed economies' imports will depend on steel markets, which as mentioned above does not look too promising. Otherwise, thermal coal import demand will depend on energy markets in general. Seaborne coal supply remains constrained, with only Indonesia able to increase supply significantly in the last two years. As long as the war in Ukraine continues, Russia's supply is likely to fall further, and the remaining major exporters do not seem likely to increase supply.

Grains

Total Exports: 5.0%
Brazil: -11.0%
Argentina: 57.0%
Russia: 5.0%
Ukraine: 57.0%
USA: 19%
China Imports: -0.1%

Current forecasts by the International Grains Council are for the upcoming South American grain season to be strong, with higher volumes expected from Argentina and Brazil.

Minor Bulks

Breakbulk: 1.1%
Fertilizers: 7.6%
Steels: 11.9%
Other Minor Bulks: 4.1%
Bauxite: +11.6%
Total Minor Bulks: 5.7%

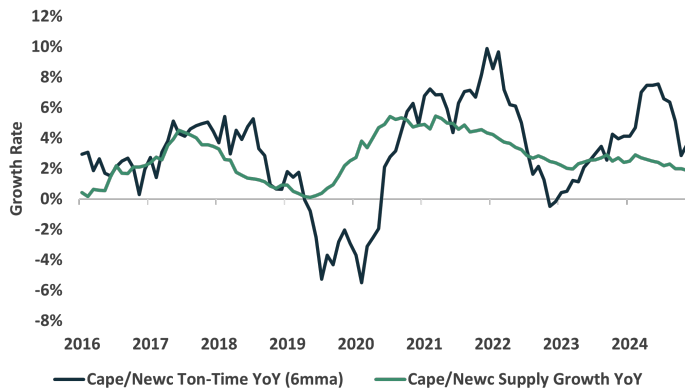
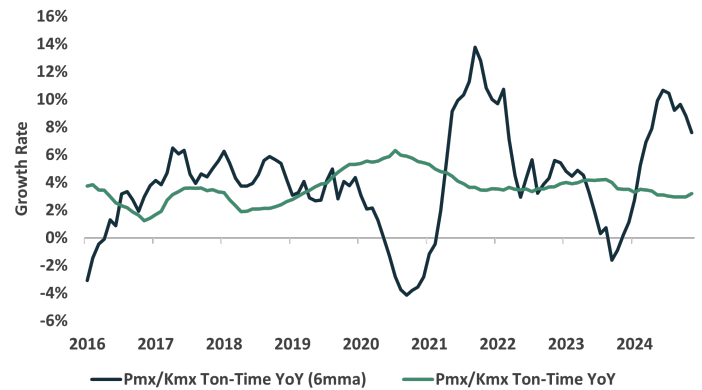
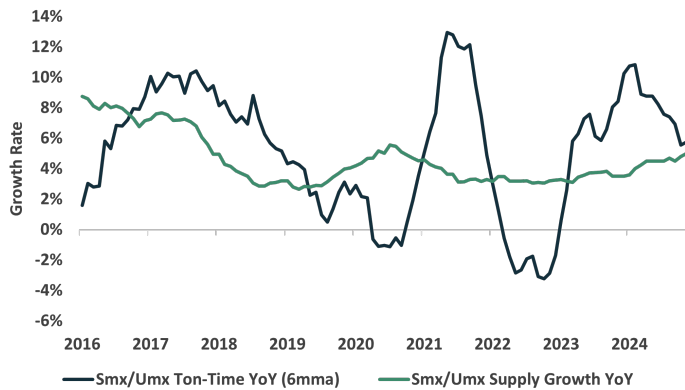
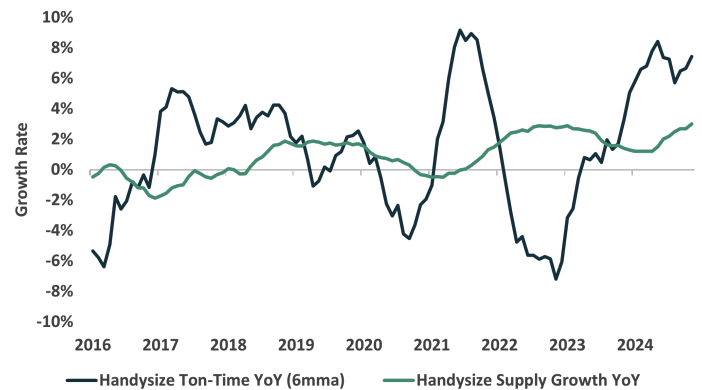
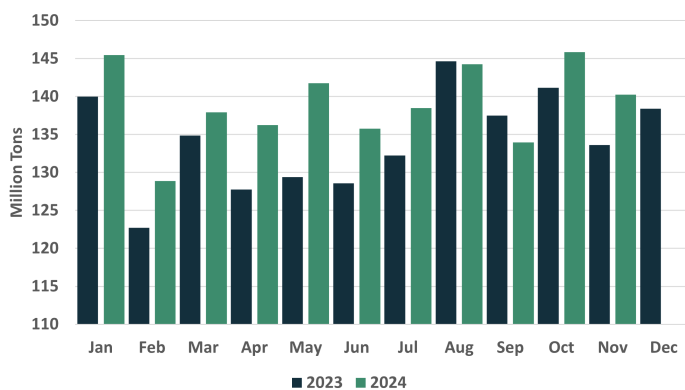
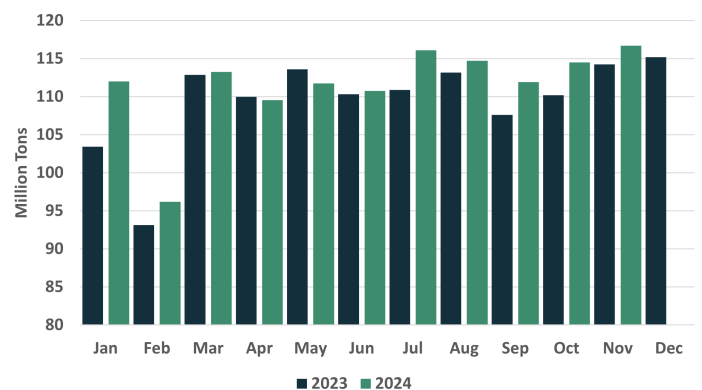
Minor bulk demand is likely to fall next year as the macroeconomic outlook is bearish in our opinion. Bauxite is likely to grow further next year, whereas threats of tariffs from several countries pose a risk to China's steel product exports.

Total Atlantic Exports Growth: 2.5%

**Total Pacific Exports Growth: 5.0%****Total Exports Growth: 4.0%****Total Supply Growth: 3.0%**

Before this year, we expected shipment volume growth in the range of 4.0% - 6.0%. Growth is going to end in the lower range of that forecast.

Next year we expect shipment volume growth to fall within a 0.0% - 2.0% range.

Capesize/Newcastlemax Ton-Time Growth vs Supply Growth**Panamax/Kamsarmax Ton-Time Growth vs Supply Growth****Supramax/Ultramax Ton-Time Growth vs Supply Growth****Handysize Ton-Time Growth vs Supply Growth****Global Iron Ore Discharges, 2023 vs 2024****Global Coal Discharges, 2023 vs 2024****MACRO ECONOMIC OUTLOOK**

In our previous monthly update from early November, we went through our viewpoints on China's stimulus measures.

Quote:

China's currency trades under a so-called 'managed float', which means the central bank is heavily involved in trying to keep it trading around a desired level. This process sometimes obviously involves buying Yuan against the USD, and vice versa. The USDCNY is therefore an important part of the domestic liquidity situation. Recent stimulus measures in China will naturally involve expanding the domestic money supply to fund infrastructure projects as well as trying to revive the property sector. That, along with weaker domestic economic growth rates means there should be heavy downward pressure on the Yuan.

To counteract this downward pressure, the central bank has to buy increasing amounts of Yuan to keep the currency stable, with the flipside of this being that it nullifies other liquidity-increasing factors. That is why there is a very high correlation between the 9-month lead of the year-on-year change of the USDCNY and China's year-on-year growth of dry bulk imports. The chart displaying this relationship is shown in the middle left below. Over the last year, the Yuan has strengthened relative to the USD, which strongly suggests China's dry bulk import growth will continue to fall over the coming 9 months.

In our view, China's government has to allow the Yuan to weaken considerably going forward for the stimulus measures to succeed. The other thing to watch in this regard is obviously the actual financing growth domestically. Reserve requirement and interest rate cuts have not led to higher financing growth this year, which in our view goes back to the still too-strong currency. Seasonally, monthly financing is always the highest during Q1, especially in January. It will therefore be very interesting to see how high (or low) those numbers are at the beginning of next year.

Unquote

One month later, China's credit growth rate has dropped further, and the USDCNY is not suggesting that import growth will pick up within the next 9 months.

Steel industry experts in China remain skeptical of the outlook for demand in 2025. A recent report from Platts outlined the situation well, which reads that the issuance of local government special bonds is up 81% on the same period last year. However, despite this massive increase in bond issuance, infrastructure investment increased by just 4.3% through January-October vs the same period in 2023. The reason for the low growth is that most of the bonds have been used to pay down or swap local government debt, rather than funding new projects. The consensus for next year is that flat steel products demand will be relatively good as infrastructure related to clean energy will continue to expand, whereas long steel products will remain under pressure primarily due to prevailing weakness in the property sector.

In the World ex-China, manufacturing is not showing much strength. JP Morgans's latest Manufacturing PMI report had the global reading at 50, stabilizing after four months of contraction. More than half of the World's countries included in the report had a reading below 50, with the Eurozone in particular being weak.

The below charts paint a bearish picture going forward.

The top left chart shows the total dry bulk imports of Japan, Korea, Taiwan, and Europe, which have remained at average monthly import volumes of 65 million tons since the start of 2023, compared to 75 million tons in 2021 and 2022. No upturn has materialized this year despite the global economy being on an upswing, which is highly unusual.

The top right chart shows an index we make tracking China's economic growth. The index is composed of property market data, fixed asset investments, power generation, and freight volumes handled in ports. This index is highly correlated to the year-on-year growth of total dry bulk demand growth. This year, the index has been negative whereas dry bulk demand growth has grown by about 4%. The last time there was such a mismatch between these two data series was in 2014.

The middle left chart shows China's bulk commodity import growth vs the year-on-year change of the USDCNY. We explained this dynamic in our previous monthly report. The USDCNY year-on-year lead suggests China's import growth

will continue to fall over the next 9 months.

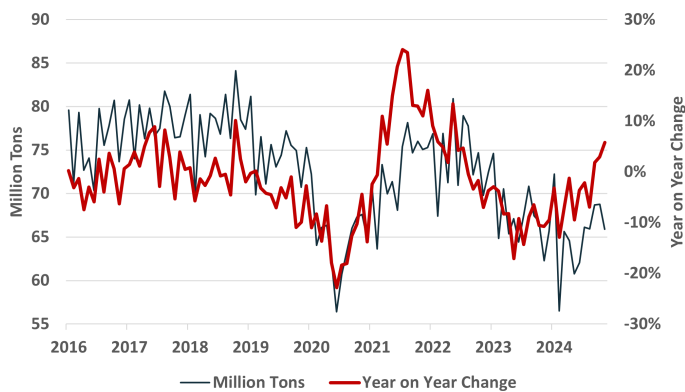
The middle right chart displays the year-on-year change of the Baltic Dry Index against the 18-month change of coal, gas, and oil prices (so comparing December 2024 prices to June 2023 prices). When energy prices have cheapened compared to the previous 18 months, it usually boosts economic growth and in turn leads to a positive year-on-year change in the Baltic Dry Index. The converse is also true. The 18-month change in energy prices usually leads by about 18 months, and the suggestion going forward is that the economic cycle will peak in the middle of 2025.

The bottom left chart shows China's dry bulk import growth against OECDs index of cyclical changes in economic growth for the G-20 countries in aggregate. China's bulk commodity import growth is shifted 1 year forward in order to display that it leads the economic cycle. This year's falling import growth suggests the economic cycle could weaken through next year.

The bottom right chart shows China's daily imported iron ore consumption. Average consumption has been 2.81 million tons per day in 2024, against 2.91 million tons per day in 2023. This is a drop of 3.2% year-on-year.

All the above considered, it is very hard to be anything else than bearish for market prospects in 2025.

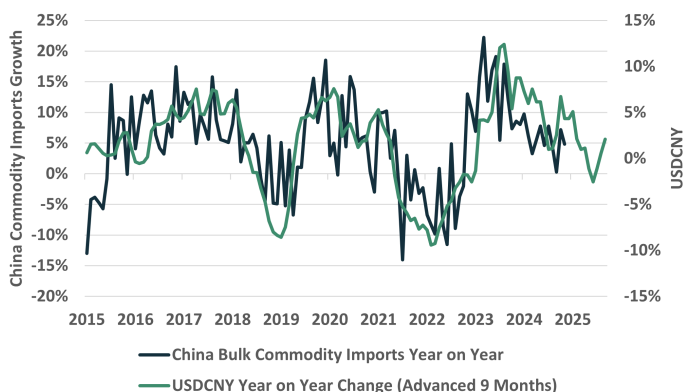
Developed Economies (Japan, Korea, Taiwan, Europe) Dry Bulk Imports



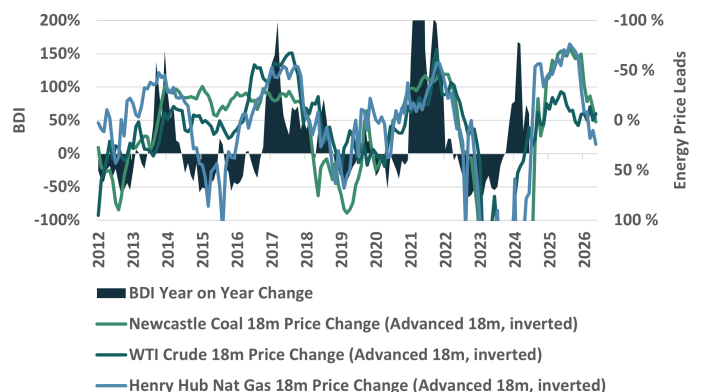
China Economic Growth Index vs Global Dry Bulk Shipments Growth



USDCNY YoY, 9 Months Lead vs China Bulk Commodity Imports YoY

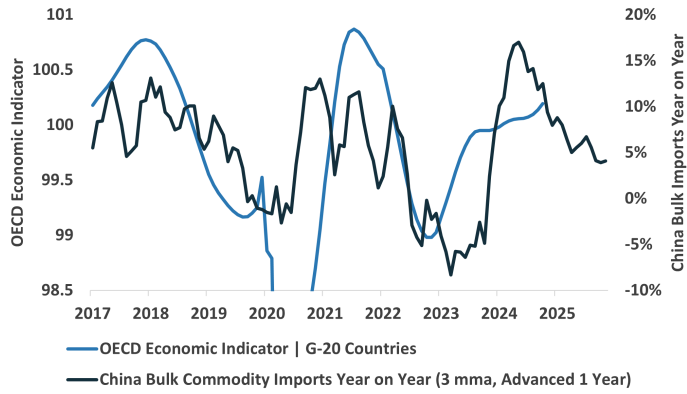


Gas, Oil and Coal Price Change Lead vs BDI Year on Year Change

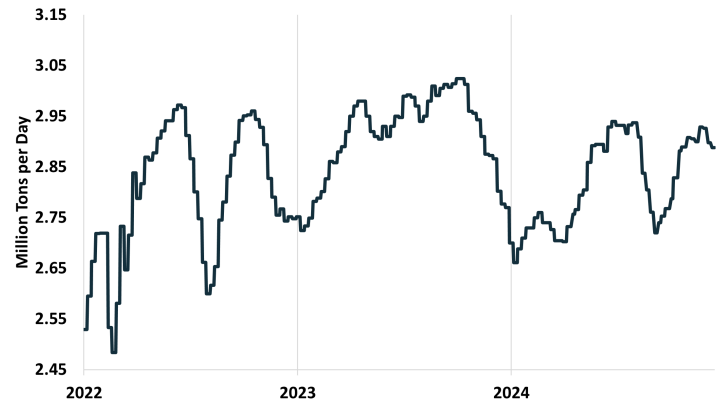




China Bulk Commodity Imports Lead vs OECD Economic Indicator



China Daily Imported Iron Ore Consumption



FRED, OECD, S&P Global, AxsMarine, Baltic Exchange



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